The information given in the income account varies considerably in extent. Some reports give no more than the earnings available for dividends and the amount of dividends paid, *e.g.*, United States Leather Company.[4]

The Income Account. In our opinion an annual income account is not reasonably complete unless it contains the following items: (1) sales, (2) net earnings (before the items following), (3) depreciation (and depletion), (4) interest charges, (5) nonoperating income (in detail), (6) income taxes, (7) dividends paid, (8) surplus adjustments (in detail).

Prior to the passage of the Securities and Exchange Act it was unfortunately true that less than half of our industrial corporations supplied this very moderate quota of information. (By contrast, data relative to railroads and public utilities have long been uniformly adequate.) The S.E.C. regulations now require virtually all this information to be published in the original registration statement (Form 10) and the succeeding annual reports (Form 10-K). Quite a number of companies have requested the S.E.C. to keep their sales figures confidential, on the ground that publication would be detrimental to the enterprise. Most of these requests have been either withdrawn or denied.[5]

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[4] Pocahontas Fuel Company appears to have been the only enterprise that, although listed on the New York Stock Exchange, published an annual balance sheet only and provided no income statement of any kind. Its bonds were removed from listing in October 1934.

The New York Curb dealings include a number of so called "unlisted issues"—dating from pre-S.E.C. days—which are not subject to requirements of the S.E.C. Among these are companies like American Book, which does not publish an income account, and New Jersey Zinc, which publishes an income account but no balance sheet.

Companies whose issues are dealt in "over-the-counter," and are thus not subject to S.E.C. regulation, generally publish annual reports only. They tend to be less detailed than the statements of listed companies, being especially prone to omit sales and depreciation figures. The great majority supply both a balance sheet and income account, but exceptions are fairly numerous. An amusing example is Dun & Bradstreet Corporation. This purveyor of financial information does not reveal its own earnings to its stockholders. Other companies omitting income accounts are Bemis Brothers' Bag, Joseph Dixon Crucible (since 1935), Glenwood Range, Goodman Manufacturing, Perfection Stove, Regal Shoe, etc.

[5] A few companies, *e.g.*, Celanese Corporation of America, succeeded in obtaining a confidential status for their sales figures in certain years prior to 1938. In some, possibly most, of the cases later requests were denied, and sales figures were subsequently published.

Our study of the 1938 reports of practically all the industrial companies listed on the New York Stock Exchange (648 enterprises) disclosed that only eight had failed to reveal their sales figures by the end of the following year. The S.E.C. advised that confidential treatment of the sales figure had been granted to one company (United Fruit) and that no